

Market & Financial Assessment — Malaysian Non-Motor and Group/Travel PA Claims Adjusting

True Claim Insight · Partner Discussion Document

Confidential — for discussion, not for circulation. Contains commercially sensitive analysis and forward-looking estimates. Please don't forward or quote it without asking first. Not investment, legal or tax advice — and the numbers shouldn't be relied on until the validation work in §10 is done.

Version	Rev 7 · 30 July 2026 · draft for partner discussion
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Read alongside	MASTER_PLAN.md (operating model + BNM compliance mapping), NON_MOTOR_ARCHITECTURE.md , ARCHITECTURE.md , CLAIMS_WORKFLOW.md
Money	All figures in Ringgit (RM), rounded; ranges are deliberate. Fees are quoted excluding service tax — whether SST applies to adjusting or TPA fees is still unverified (§6.4, §10).

Executive summary

The opportunity. Malaysian general insurers spend on claims assessment across the non-motor lines (fire/property including flood, engineering, liability, marine/aviation/ transit, miscellaneous) and the Group and Travel PA classes. Those lines represent **~RM10.8–11.0B of annual premium, roughly 47–48% of the general insurance market**. The realistically addressable services-and-software spend within them is an estimated **RM60–150M per year**.

Why these lines, not motor. Motor is deliberately excluded. It runs at an underwriting loss (103% combined ratio in 2025, RM289.3M loss) with insurers squeezing vendor fees, and it is served by an entrenched incumbent workflow. The non-motor lines are the opposite: **fire insurance earned a RM700.8M underwriting profit at a 69.5% combined ratio in 2025**, so insurers there buy service quality and capacity rather than the lowest price. The PA class is the **fastest-growing line in Malaysian general insurance (+12.2% in 2025)** with a very low loss ratio.

The wedge. Flooding is Malaysia's most severe recurring peril — roughly one major event every three years, with the December 2021 flood alone generating **RM2–3B of claims exposure**. Claim volumes spike 2–5× exactly when adjusters physically cannot reach sites, while BNM's Claims Settlement Practices policy still imposes turnaround standards. Remote, claimant-guided assessment with fraud screening addresses a structural weakness in the incumbents' site-visit model.

Two engines, one platform. Property and catastrophe work is high-value, technical and lumpy. Travel and Group PA work is high-volume, low-value (typically RM200–3,000 per claim) and adjudicated on documents. Together they give the business recurring transaction volume underneath a high-margin, event-driven top layer.

The honest financial picture.

Year 1	Loss of RM450,000–1,020,000 on the registered-adjuster route; funding need RM900,000–1,400,000
Breakeven	Months 15–22 (base case)
Year 5 revenue	RM5–8M conservative · RM13–18M base · RM22–30M optimistic
Steady-state margin	15–25% EBITDA — a services business with a software layer, not a software business
Catastrophe-year uplift	+RM3–8M (base), unpredictable in timing

What makes or breaks it. Three things, in order. First, **talent**: BNM requires adjusting work to be signed off by a senior adjusting employee with five years of subject-matter experience, and only 55 firms hold registration — AI raises throughput per adjuster but cannot remove this headcount floor. Second, **panel access**, which is relationship-driven and takes 6–12 months. Third, **catastrophe timing**, which nobody controls.

What is already built. A working multi-tenant claims platform with non-motor claim models, a fraud-signal framework and an existing unlicensed TPA operation — see §3. This is not a concept seeking a build; it is an operating system seeking regulatory qualification, panel access and senior adjusting capability.

The candid caveat. As a standalone Malaysian business this is a **profitable niche, not a venture-scale volume market**. The realistic outcome is a RM13–18M revenue services business at 15–25% EBITDA. All revenue figures rest on three estimates that public sources cannot confirm, listed in §10. Anyone joining should treat this as a **costed hypothesis with a named validation plan**, not a validated forecast.

Purpose: Neutral, research-based assessment of what loss adjusters and claims service providers charge Malaysian insurers in their **in-scope general insurance lines**, the size of the fee pool, and the realistic profitability of entering this business with the True Claim Insight platform.

Scope: Fire/Property, Construction & Engineering, Liability, Marine/Aviation/Transit (MAT), Bonds, Workmen's Compensation and Miscellaneous classes, **plus the Personal Accident (PA) class excluding Individual PA** — i.e. Group PA, Travel PA (travel insurance), PA riders/add-ons and affinity/niche PA are **in scope**. **Explicitly excluded:** Motor, Medical & Health, and Individual PA (standalone personal accidental death/disablement adjudication). *Classification note:* travel insurance in Malaysia is **a product written under the PA class** (PA core benefits + travel-inconvenience add-ons), not a statistical class of its own — which is why the PA class must be partially included to capture travel claims.

Date of research: 30 July 2026. Latest available data: FY2024 detail plus PIAM's FY2025 headline results **Method and limitation: desk research only** — PIAM Yearbook 2024 and 2025 press releases, ISM data, BNM policy documents, Malaysian Re *Malaysian Insurance Highlights*, and company/industry sources. **No primary interviews have been conducted.** Per-case adjusting fees are negotiated privately and published nowhere, which is itself a finding.

How to read the numbers. Every figure is labelled one of three ways: **verified** (traceable to a cited public source), **derived** (arithmetic on verified figures, method shown), or **estimate** (industry-practice judgement requiring validation). The three load-bearing estimates are flagged in §10. This document is intended to support an investment discussion honestly — including where it is weak — not to advocate a position.

0. Key structural findings

- Assessment work in these lines is loss adjusting**, performed by BNM-registered adjusters paid per-case professional fees (ad-valorem scale or time-and-expense) — not the per-transaction admin-fee model of medical TPAs.
- BNM's August 2025 policy document** requires adjusting work to be performed by **full-time employees of registered adjusting firms**, with senior sign-off rules. A tech platform cannot simply "be" the assessor — it must register as an adjuster or sell to/through registered adjusters and insurers.
- Non-motor is the opposite of motor economically.** Motor runs at an underwriting loss (combined ratio 103% in 2025); **fire runs at a large underwriting profit** (combined ratio 69.5%, RM700.8M profit in 2025). Insurers in these lines buy service quality and catastrophe surge capacity, not desperate cost-cutting.
- The property market is event-driven.** Flooding is Malaysia's most severe recurring peril — major events roughly every 3 years, 14 major floods between 1998 and 2021. The December 2021 flood alone generated an estimated **RM2–3B in claims exposure** (PIAM), against a normal-year non-motor claims baseline of ~RM1.5–2B. Adjusting demand spikes 2–5× in catastrophe periods, when physical site access is hardest — which is precisely the remote assessment use case.
- The PA/travel segment is a different operating model entirely.** Travel and group PA claims are high-volume, low-value (typical travel claim RM200–3,000) and adjudicated on documents — no adjuster site visits. Loss adjusters are largely absent from this chain; the competition is insurer in-house teams, assistance companies (Europ Assistance, Allianz assistance network) and claims-automation vendors. Speed is already the battleground: Tune Protect pays flight-delay claims **instantly via DuitNow** (parametric); Allianz guarantees app claims ≤RM5,000 in **3 working days or pays double**. This segment gives the business recurring transaction volume that property/catastrophe work cannot.

1. Demand side: non-motor claims volumes and values (verified where stated)

Metric	Value	Source
Fire gross premium	2024: RM4.7B (19.7% of GI) → 2025: RM5.0B (+6.9%), second-largest line	PIAM
MAT gross premium	2024: RM1.8B (7.9% of GI)	PIAM/ISM
Miscellaneous classes premium	2024: ~RM3.3B (14.8% of GI) — bonds, CAR & engineering, liability, WC, others	PIAM/ISM
PA class premium	2024: RM1.39B (6.1%) → 2025: RM1.6B, +12.2% — the fastest-growing GI line	PIAM
PA class net claims incurred	2024: ~RM0.2B (1.8% of total NCI) — a very low loss ratio; highly profitable line	PIAM Yearbook
In-scope PA share (excl. Individual PA)	Estimate: 60–75% of the PA class (~RM1.0–1.2B premium) is Group PA + Travel PA + riders/affinity — the Individual-PA split is not published; validate	estimate
In-scope premium base	~RM10.8–11.0B/year (~47–48% of general insurance premium)	derived
Fire net claims incurred	2024: ~RM0.5B (5.5% of total NCI)	PIAM Yearbook
MAT net claims incurred	2024: ~RM0.7B (7.7%)	PIAM Yearbook
Miscellaneous net claims incurred	2024: ~RM0.4B (4.6%)	PIAM Yearbook
In-scope NCI baseline	~RM1.6B/year in a normal (non-catastrophe) year	derived
Fire underwriting result	2025: RM700.8M profit , combined ratio 69.5%	PIAM press release
Dec 2021 flood claims exposure	RM2–3B (PIAM); insured loss ~RM1.5–2B (Malaysian Re); economic loss RM5.3–6.5B	PIAM, Malaysian Re MIH

Metric	Value	Source
Flood protection gap	Historically only ~10% of flood economic losses are insured	Malaysian Re MIH 2021

Claim-count estimates (low confidence — no published counts):

- **Property/commercial lines:** householder/houseowner policies are high-count but very low frequency and severity (average premiums RM136/RM369); commercial fire and IAR claims are low-count but high value (IAR average premium RM343k); MAT, liability and engineering claims are episodic. Plausible normal-year range: **~30,000–80,000 assessable claims/ year**, of which the adjuster-appointed subset is perhaps **15,000–40,000 instructions/ year**. In catastrophe years the property claim count multiplies (the 2021 flood produced tens of thousands of property and contents claims within weeks).
- **Travel/Group PA:** counts are also unpublished, but the volume logic is opposite — many small claims. Flight-delay benefits alone (paid per qualifying delay, increasingly parametric/automatic) plus baggage, cancellation and group PA batches plausibly put industry-wide in-scope PA claims in the **low-to-mid six figures per year**, at RM200–3,000 average value. **This count is the single most important number to validate** — it determines whether per-claim pricing can build real revenue in this segment.

2. What insurers actually pay for non-motor assessment

Fee structure (how, not how much — the "how" is well documented)

Non-motor adjusting is charged on two bases, internationally and in Malaysia:

- **Ad-valorem scale fee:** a regressive percentage of the adjusted loss (higher % on the first tranche, stepping down as the loss grows).
- **Time and expense:** hourly/day rates for large or complex losses (business interruption, engineering, liability), plus disbursements.

Published Malaysian tariffs do not exist; panel agreements are confidential. **Industry-practice estimates (require primary validation):**

Claim type	Estimated fee per case
Small domestic property (householder/houseowner)	RM500–1,500 minimum-fee territory
Mid-size commercial fire/property	RM3,000–15,000 (scale fee on adjusted loss)
Large/complex losses (major fire, BI, engineering)	RM50,000+ on time-and-expense
Liability/WC investigations	RM1,500–5,000

Implied fee pool

Adjusting fees on property/commercial claims typically run at **~1–3% of claims paid** on adjusted claims. Against a normal-year in-scope claims baseline of RM1.5–2B:

- **Normal-year non-motor adjusting fee pool: roughly RM30–80M/year** (estimate).
- **Catastrophe years: 2–3x that**, concentrated in months.

This is **materially smaller than the motor fee pool** (previously estimated at RM200–400M/year) — fewer, larger, more technical cases.

The PA/travel segment: no adjusters, different fee logic

For Group PA, Travel PA and rider claims, **loss adjusters are largely absent** — insurers adjudicate in-house on documents, with assistance companies handling the overseas-emergency slice (Europ Assistance for Tune Protect, with MiCare on admission support; Allianz's own assistance network). What insurers "pay" for claims handling here is internal operations cost plus assistance-company retainers, not per-case adjusting fees. Consequences:

- **There is no incumbent fee to capture** — the revenue model is per-claim adjudication automation, fraud screening, or SaaS to the insurer's claims team, priced against the insurer's internal cost per claim (estimate: RM20–80 of internal handling cost on a small travel claim) and against leakage reduction.
- **Speed benchmarks are already extreme:** instant parametric flight-delay payouts via DuitNow (Tune Protect), 3-working-day guarantees with a pay-double penalty (Allianz, claims ≤RM5,000 via app). Any offering must match or enable this, not slow it down.
- **Fraud is document fraud:** inflated/fabricated baggage claims, doctored receipts, claims for trips not taken, undisclosed pre-existing conditions — a strong fit for document-AI and voice-risk screening rather than video site assessment.
- **Buyers are concentrated:** Tune Protect (AirAsia channel), Allianz, Zurich, Etiqa, AIG and airline/banca partnerships control most Malaysian travel-claim volume — a handful of logos to sell to.

Market structure — who earns these fees today

Of the **55 firms on BNM's List of Registered Adjusters** (verified 21 July 2026), non-motor work is concentrated in the international networks and a few strong locals:

- **Sedgwick** — self-described largest loss adjusting firm in Asia; dedicated Malaysia operation.
- **Crawford & Company** — long-established Malaysian presence.

- **Charles Taylor Adjusting** — large/complex commercial specialist (property, marine, aviation, construction & engineering); Malaysian MD and local team.
- **McLarens Malaysia** — tripled its Malaysian team in 2023, offices in KL, Johor and Penang; named Insurance Asia News Loss Adjuster of the Year 2025; new MD appointed July 2026 — evidence that internationals see growth here.
- **Malayan Adjustment Company (MAC)** and other established locals handle the broad mid-market.

This segment competes on **technical credentials (chartered adjusters, engineers, forensic accountants) and insurer relationships** , far more than on price. That is a higher barrier to entry than motor adjusting — and the BNM rule that a senior adjusting employee needs **5 years of experience in the subject matter** to sign off reports makes talent the binding constraint for any new entrant.

3. What exists today (capability and traction)

Stated conservatively, with known gaps included — a partner should be able to verify every line. Detail in `MASTER_PLAN.md` and `NON_MOTOR_ARCHITECTURE.md` .

Operating business. An **unlicensed TPA operation** (claims administration performed on behalf of insurers) is running today. A **first insurer client has verbally agreed** to a white-label engagement, with a multi-panel ambition thereafter. *Verbal, non-binding, and not yet contracted — treat as a qualified prospect, not secured revenue. Client name withheld in this copy pending their consent to be named.*

Platform. A working multi-tenant claims system, not a prototype: 144 commits across seven services (NestJS/Fastify APIs, React adjuster portal, claimant PWA) on PostgreSQL via Prisma, with 27 data models.

Capability	State
Non-motor claim models — <code>FloodClaim</code> , <code>TravelClaim</code> , <code>Policy</code> , <code>Case</code> , <code>CaseDocument</code>	Built
Multi-tenant isolation (per-insurer white-label; <code>TenantGuard</code> , strict/flexible scopes)	Built
Fraud-signal framework — typed provider interface (<code>FraudSignal</code>), behavioural scoring (<code>DeceptionScore</code>), document analysis (<code>DocumentAnalysis</code>), <code>TrinityCheck</code>	Built, providers extensible
Parametric flood trigger field, JPS gauge and MetMalaysia event references	Schema ready; external feeds pending
Per-insurer evidence checklists (<code>EvidenceRequirement</code>) — no code change per insurer	Built
Remote video assessment, eKYC, digital signing loop	Built
Audit trail (<code>AuditTrail</code>) supporting BNM's 7-year retention obligation	Built
Assessment-mode router (desk review / remote video / site visit / expert referral)	Designed, per <code>MASTER_PLAN.md</code>

Known gaps, disclosed. No scheduler exists in the monorepo, so SLA/turnaround clocks are not yet enforced; billing is unbuilt (fee scales, time entries, disbursements, fee notes); there is no BNM change-notification register; and the licensed-mode hard gates (qualified-assignee-only, junior supervision with senior countersign, conflict-of-interest screening, CPD floor) are specified but not implemented. `MASTER_PLAN.md` contains a clause-by-clause compliance audit of these gaps.

Legacy motor surface. Motor code (`ClaimCategory.MOTOR` , motor rule engine, vehicle master data) remains in the repository and functional but is **not a target and will not be extended**, consistent with the pivot.

What this means for a partner. The build risk is materially reduced; the open risks are regulatory qualification, insurer panel access and senior adjusting capability — which is where a partner adds what capital alone cannot.

4. Structural constraints and tailwinds

1. **BNM Adjusters Policy Document (29 Aug 2025):** registration required; full-time adjusting employees; 5-year seniority for sign-off; 15 CPD hours/year; 7-year record retention. Path options: (a) register an adjusting subsidiary and hire senior non-motor adjusters, or (b) sell the platform to insurers and existing adjusting firms. **PA/travel nuance:** desktop adjudication of travel/group PA claims as an outsourced service for an insurer likely falls under BNM's *outsourcing* rules (insurer stays accountable) rather than requiring *adjusting* registration — but the FSA s.2(1) definition of adjusting business ("investigating the cause and circumstances of a loss and ascertaining the quantum") is broad enough that this needs a formal legal read before building the travel product.
2. **Merimen is less of a blocker here.** The Merimen eClaims rail is motor-centric; non-motor claims workflows are more bespoke (email, reports, site visits) — a genuine digitisation gap, but also a sign that volumes were historically too low to justify platform investment.
3. **Catastrophe surge is the standout use case for remote assessment.** During floods, adjusters physically cannot reach sites for days while claim volumes multiply. BNM's Claims Settlement Practices policy (July 2024) imposes turnaround-time standards that are hardest to meet exactly then. Claimant-guided video triage, geotagged evidence capture and fraud screening directly address this.
4. **Climate trajectory supports the thesis:** major floods ~every 3 years, ~90% of flood economic losses uninsured (a gap regulators and the industry want to close — more policies → more claims to assess), and reinsurers pressing for better claims data.
5. **Counter-pressure:** fire underwriting is highly profitable at a 69.5% combined ratio, so insurers feel less cost pain in these lines; the sales argument must lean on surge capacity, turnaround compliance and fraud detection rather than cost-cutting.

5. Revenue forecast scenarios (neutral)

Path A — operate as a registered non-motor adjusting firm

Assumes successful registration and, critically, hiring senior non-motor adjusters (the scarce resource). Fee assumptions from the estimate table above.

Scenario	Instructions/yr	Blended avg fee	Revenue	Technical headcount (AI-native vs incumbent model)
Conservative (niche panel, domestic property)	2,000	RM1,200	RM2.4M	3–4 vs 6–8
Base (multi-line panel, yr 3–4)	5,000	RM1,800	RM9.0M	8–14 vs 15–25
Optimistic (incl. one catastrophe-year surge)	8,000–12,000	RM2,000	RM16–24M	15–22 vs 30–45 (plus surge contractors)

The AI-native claim, quantified. Incumbent non-motor adjusters handle roughly 40–60 cases/month. With automated document extraction, drafted reports and remote assessment replacing most site visits, a blended 80–100 cases/month is a defensible target — lower than the 100–150 achievable on simple claims, because large commercial and business-interruption losses remain inherently slow and cannot be compressed much. That implies **roughly half the technical headcount for the same revenue**, or about **RM650,000–1,100,000 of revenue per technical employee** versus an incumbent RM350,000–600,000.

Two caveats an investor will test: the statutory minimum headcount for lawful sign-off still applies regardless of throughput (§6.1), and utilisation is uneven between catastrophe events. Realistic steady-state EBITDA: **15–25%** (estimate).

Path B — SaaS platform for insurers and adjusting firms (non-motor claims)

The transaction pool (~15k–40k adjuster instructions/year) is **too small for motor-style per-transaction pricing** to build a large business. Pricing must be value-based per case or subscription:

Scenario	Claims on platform	Pricing	ARR
Conservative	5,000 cases	RM80/case	RM0.4M
Base	15,000 cases + 3 insurer subscriptions	RM100/case + RM250k/insurer	RM2.3M
Optimistic	30,000 cases + surge-capacity licences + fraud tier	RM120/case blended + subscriptions	RM6–8M

A **catastrophe surge-capacity licence** — insurers paying a standing annual fee for guaranteed remote-assessment capacity when floods hit, analogous to a disaster-recovery contract — would convert lumpy event demand into recurring ARR. It is the most promising non-linear revenue structure this research identified, but note that **no evidence was found of any Malaysian insurer currently buying such a product**; appetite is unvalidated (§10) and the standby contractor pool needed to honour it is a real cost (§6.3).

Unit-economics caution (unchanged): per-claim COGS (video minutes, eKYC at ~RM3–8, AI fraud analysis potentially several USD/claim) is proportionally less painful here than in motor because per-case pricing is 3–10× higher — one genuine advantage of the non-motor scope.

Path C — travel / Group PA claims adjudication platform (the volume engine)

Sold to insurers as automation + fraud screening on high-volume PA-class claims. Pricing must sit below the insurer's internal handling cost (~RM20–80/claim, estimate) and COGS must be kept minimal per claim (document AI, no video, selective eKYC/voice-risk only on flagged claims):

Scenario	Claims/yr on platform	Pricing	ARR
Conservative (1 travel insurer)	30,000	RM8/claim	RM0.24M
Base (2–3 insurers incl. one airline channel)	150,000	RM10/claim + RM200k/insurer fraud tier	RM2.0M
Optimistic (majority of travel-claim volume + group PA batches)	400,000	RM12/claim blended + fraud tiers	RM6–8M

Path C's role in the portfolio is **recurring, non-lumpy transaction revenue** that smooths the catastrophe-driven Path A/B property income — and the fraud-screening data network effect grows with every claim processed. Its risk is the inverse: thin per-claim pricing means volume commitments from a small set of concentrated buyers are essential before building.

6. Cost structure, year-1 P&L and breakeven

Modelling assumptions: AI-native operating model (workflow digitised end-to-end, minimal clerical headcount); **no shareholder or director salaries drawn**; Malaysian Sdn Bhd; founders provide engineering. All figures are planning estimates, not quotations.

6.1 The cost that AI cannot remove

BNM's Adjusters Policy Document makes certain headcount **non-substitutable** for Path A: adjusting work "shall be completely carried out by its adjusting employees only" (para 12.2), those employees must be **full-time under the Employment Act** (para 12.1), new adjusting employees require **one year of supervision** by a senior adjusting employee (para 12.3), and any report by someone with under five years' experience must be **signed off by a senior adjusting employee with five years in that subject matter** (paras 12.4, 12.7).

Consequence: AI raises **cases per adjuster** — plausibly from the incumbent 40–60/month toward 100–150/month via automated document extraction, drafted reports and remote video assessment — but it **cannot reduce the required number of qualified adjusters below the minimum needed for lawful sign-off and continuity**. Senior non-motor adjusters in Malaysia are chartered-level professionals; budget **RM12,000–20,000/month**, materially above the RM1,700–5,000/month that field *motor* adjusters command.

Single-senior risk: with only one senior adjusting employee, losing that person halts report sign-off entirely. Two seniors is the practical minimum for a going concern — an investor-relevant cost floor, not padding.

6.2 Malaysian statutory employer costs (frequently omitted)

Payroll costs **more than gross salary**. Verified rates as at 2026:

Statutory item	Employer rate	Basis
EPF (employee under 60)	13% (wage ≤ RM5,000) / 12% (> RM5,000)	KWSP Third Schedule wage bands
SOCSSO (Category 1)	1.75%	Wages capped at RM6,000/month
EIS	0.2%	Wages capped at RM6,000/month
HRD Corp levy	1.0% (10+ Malaysian employees) / 0.5% (5–9)	Services sector employers; reclaimable against approved training
Effective loading on payroll	≈ +14–16%	applies to every salary line below

6.3 Full cost inventory

One-off / setup

Item	Estimate	Note
Incorporation, company secretary setup	RM3,000–8,000	
BNM registration preparation (legal/consultant)	RM30,000–80,000	Fit-and-proper documentation, policies, procedures manuals
Minimum paid-up capital for adjusting business	Not verified — confirm from Schedule 2 of the Financial Services (Registered Businesses) Order	Locked-up capital, not an expense, but increases the funding requirement
Legal opinion: does desktop travel adjudication require adjusting registration?	RM20,000–40,000	FSA s.2(1) scope vs BNM outsourcing rules
Senior adjuster recruitment (headhunter ~15–20% of annual package)	RM30,000–70,000	Scarce talent, 55 firms competing
Information-security certification (ISO 27001 or equivalent)	RM40,000–120,000	Insurer vendor onboarding increasingly requires it; peers such as HealthMetrics hold ISO 27001
Insurer vendor security assessments / penetration testing	RM20,000–50,000	Per-insurer onboarding requirement

Recurring people (the dominant cost)

Role	Monthly	Regulated?
Senior adjusting employee × 2	RM24,000–40,000	Yes — mandatory
Junior adjusting employee × 1–2	RM4,000–10,000	Yes (supervised year 1)
Engineering (0 if founders unpaid; else 1 mid-level)	RM0–12,000	No
Claims ops / admin support	RM0–4,000	No — largely automatable
Statutory loading (§6.2)	+14–16% of the above	

Recurring compliance

Item	Annual estimate
BNM annual registration fee	Not verified — Third Schedule, Financial Services (Fees) Regulations 2014
External auditor (required at registration)	RM15,000–30,000
Company secretary, filings	RM5,000–10,000
Professional indemnity insurance	RM20,000–50,000
Cyber liability insurance	RM10,000–25,000

Item	Annual estimate
CPD: 15 hours/year per adjusting employee (mandated)	RM2,000–5,000/employee + lost billable time
7-year record retention (storage, archival, retrieval)	RM5,000–15,000, compounding yearly
PDPA compliance, DPO function	RM10,000–25,000
PIAM/AMLA-adjacent memberships, industry events	RM5,000–15,000

Technology and per-claim COGS

Item	Note
AWS ap-southeast-5 (Malaysia)	Data-sovereignty requirement per project rules; Malaysia-region pricing typically exceeds Singapore — model a premium
LLM inference	Scales with claim volume; the core AI-native variable cost
Daily.co video minutes	Per remote assessment session
eKYC (Innov8tif/CTOS)	~RM3–8 per check
Clearspeed voice risk analysis	Priced per claim in USD — use selectively on flagged claims only
Hive AI deepfake detection	Per media asset
SigningCloud digital signatures	Per document
Merimen or insurer system integration	If required by a panel

Other operating

Office/registered premises (BNM requires a principal place of business, with branch notification) RM3,000–5,000/month; residual physical site visits and travel RM30,000–60,000/year; **catastrophe surge contractor pool on standby** (the cost side of the surge-capacity product — retainers or panel agreements with freelance adjusters); BD and marketing RM30,000–80,000/year; bad debt provision.

Working capital: insurers typically settle on **30–90 day terms**. At RM500,000 of revenue that is roughly **RM60,000–120,000 of receivables to finance** — a funding requirement, not a P&L line.

6.4 Year-1 P&L (realistic, founders unsalaried)

Year 1 is structurally loss-making on the registered route because regulated payroll and fixed compliance costs land **before** panel appointments produce invoices. BNM registration requires submission at least 30 working days before commencement plus fit-and-proper clearance; insurer panel procurement then typically takes 6–12 months.

Line	Path A+C (registered adjuster)	Path C only (travel/PA platform, unregistered)
Revenue	RM300,000–600,000	RM100,000–400,000
Adjusting employees incl. statutory loading	(RM380,000–450,000)	—
Engineering (RM0 if founders unpaid)	(RM0–160,000)	(RM0–160,000)
Technology, infrastructure, per-claim COGS	(RM50,000–110,000)	(RM40,000–80,000)
Office and premises	(RM40,000–60,000)	(RM12,000–30,000)
Compliance: audit, co-sec, PI, cyber, PDPA, CPD, BNM fees	(RM100,000–180,000)	(RM40,000–70,000)
One-off setup: registration, legal opinion, recruitment, InfoSec	(RM120,000–300,000)	(RM60,000–150,000)
BD, travel, contingency	(RM60,000–120,000)	(RM40,000–80,000)
Net profit / (loss)	(RM450,000–1,020,000)	(RM250,000) to +RM100,000
Total year-1 funding need (incl. receivables + paid-up capital)	RM900,000–1,400,000	RM300,000–500,000

Tax: with a year-1 loss there is no tax charge, and losses carry forward. Malaysian SME rates (15% on the first RM150,000 of chargeable income, 17% on the next RM450,000, 24% thereafter, subject to the paid-up capital and gross-income conditions) make tax immaterial until year 2–3.

Service tax (SST) on adjusting or claims-administration fees is unverified — Malaysia's service tax scope expanded on 1 July 2025 and professional services categories were widened. If in scope at 8%, this affects pricing and cash flow materially and must be confirmed with a tax adviser before quoting insurers.

6.5 Breakeven and multi-year shape

Year	Conservative	Base	Optimistic
1	(RM0.5M)	(RM0.5M)	(RM0.3M)
2 revenue	RM1–2M	RM3–4M	RM6–8M

Year	Conservative	Base	Optimistic
3 revenue	RM3–4M	RM8–9M	RM14–18M
5 revenue (steady state)	RM5–8M	RM13–18M	RM22–30M
Steady-state EBITDA margin	10–18%	15–25%	20–30%
Catastrophe-year uplift	+RM1–3M	+RM3–8M	+RM8–15M

Breakeven lands in months 15–22 on the base case. The dominant variable is not engineering velocity but **time-to-first-panel-appointment**, because regulated payroll burns whether or not instructions flow. Secondary variables: whether an airline or bancassurance travel channel is won (roughly the gap between the conservative and optimistic Path C columns), and catastrophe timing, which is uncontrollable.

Margin honesty: at maturity this is a **15–25% EBITDA services business with a software layer**, not a software business with services attached. Pushing toward the platform-led mix (Paths B and C) improves margin and scalability but lowers absolute revenue.

7. Verdict on profitability (non-motor + PA scope)

- **The addressable fee pool shrinks by roughly an order of magnitude versus motor** (~RM30–80M/year normal-year adjusting fees vs ~RM200–400M for motor). Whatever is built must win on value per case, not volume.
- **Per-case economics are better and fee pressure is lower** — insurers are profitable in these lines and pay for technical quality. But the competition (Sedgwick, Crawford, Charles Taylor, McLarens) is credentialed and entrenched, and BNM's 5-year seniority rule makes talent, not technology, the gating factor for Path A.
- **Revenue will be lumpy.** A flood year can double revenue; two quiet years can follow. Plan cash accordingly; sell surge capacity as a subscription to smooth it.
- **The strongest genuine wedge:** catastrophe surge remote assessment + BNM turnaround compliance + fraud screening on property claims. This is a real, regulator-aligned gap that incumbents' site-visit model handles poorly.
- **The PA/travel inclusion changes the shape of the business.** Property/catastrophe work is high-value and lumpy; travel/group PA is low-value and recurring. Together they form a **two-engine model**: Path C transaction volume covers the base while Path A/B catastrophe and complex-loss work provides the high-margin spikes. The PA class is also the fastest-growing GI line (+12.2% in 2025) with a very low loss ratio — insurers there invest in claims experience as a sales weapon, which is an easier conversation than cost-cutting.
- **Market sizing, stated the way an investor will ask it.** Total in-scope premium is ~RM10.8–11.0B (verified/derived), but premium is not the addressable market. The **addressable services and software spend** is the ~RM30–80M normal-year non-motor adjusting fee pool plus insurers' internal PA/travel claims-handling cost (unquantified, estimate) — call it **RM60–150M of realistically addressable annual spend**. A credible obtainable share at maturity is **RM13–18M (base case), RM22–30M (optimistic), RM5–8M (conservative)** per \$6.5 — roughly a 10–25% share of the addressable pool.
- **Honest bottom line:** as a standalone Malaysian business this is a **solid, cash-generative niche at 15–25% EBITDA — not a venture-scale volume market**. Investors seeking a large outcome should treat Malaysia as a **beachhead**, with the equity story resting on one of: (a) regional expansion, since the same internationals and travel insurers operate Asia-wide networks (Tune Protect alone spans a dozen markets); (b) becoming the surge/fraud platform layer sold **to** the industry rather than competing with it; or (c) later extension into the adjacent motor pool (~RM200–400M of fees), which this scope deliberately excludes. Without one of those, the realistic outcome is a profitable RM13–18M revenue services business — which may be exactly the right goal, but should be pitched as such rather than as a platform hypergrowth story.

8. Risk register

Stated plainly because an investor will find these anyway. Severity reflects impact on the base case if the risk materialises.

#	Risk	Severity	Mitigation / current view
1	Fee assumptions unverified. Per-case non-motor fees are confidential; the RM500–15,000 table is industry-practice estimate. If actual fees sit at the bottom of each band, year-3 revenue falls toward the conservative column.	High	Validate in primary interviews before committing capital. This is the single largest modelling risk.
2	Talent is the binding constraint. BNM's 5-year subject-matter seniority rule for sign-off means the business cannot operate without scarce senior adjusters, and 55 registered firms compete for the same pool. Losing a senior halts sign-off.	High	Two-senior minimum; equity participation; consider acquiring a small registered firm instead of building.
3	Panel access is relationship-driven and slow. Insurers appoint adjusters they know; procurement cycles run 6–12 months with security assessments.	High	Warm introductions; start with one line and one insurer; consider white-label work under an existing registered adjuster to generate revenue during registration.

#	Risk	Severity	Mitigation / current view
4	Small TAM. ~RM30–80M normal-year non-motor adjusting fee pool nationally. Even strong execution yields a RM5–25M revenue business in Malaysia alone.	High	Honest framing: this is a beachhead, not the endgame. Regional expansion or platform licensing is required for venture-scale outcomes.
5	Revenue lumpiness. Catastrophe-driven property work can double a year's revenue, then not recur.	Medium–High	Path C recurring volume plus surge-capacity subscriptions to smooth; hold cash buffer through quiet years.
6	Buyer concentration, especially Path C. A handful of insurers control most travel-claim volume; losing one contract could remove a majority of ARR.	Medium–High	Contract minimum volumes; diversify across 3+ payers before scaling headcount.
7	Incumbents are already investing in the same technology. Sedgwick publishes on AI in loss adjusting and is the largest adjuster in Asia; McLarens tripled its Malaysian team and won regional awards. They have capital, panels and credentials, and can buy or build comparable tooling.	Medium–High	Compete where their site-visit operating model is structurally weak (surge, turnaround compliance) rather than on general capability; or sell to them.
8	Regulatory scope uncertainty on travel adjudication. If BNM deems desktop travel-claim adjudication to be adjusting business, Path C inherits the full registered-adjuster cost base and its economics change materially.	Medium–High	Obtain a formal legal opinion before building the travel product.
9	Insurers in-house the capability. Zurich, Allianz and Tune Protect already ship their own claims automation and app-based payouts.	Medium	Position as capacity and fraud-network value that is uneconomic to build per-insurer; avoid competing on basic workflow.
10	AI does not reduce regulated headcount (§6.1) — the "AI-native, low-manpower" thesis holds for throughput and for Path C, but not for Path A's statutory minimum.	Medium	Model Path A margins on realistic headcount; concentrate AI leverage where it is legally unconstrained.
11	Data, PDPA and cyber exposure. Claims data includes personal, medical and financial information; data must stay in Malaysia; a breach would end insurer relationships.	Medium	ap-southeast-5 residency, ISO 27001, cyber cover, DPO function — costed in §6.3.
12	Working capital squeeze. 30–90 day insurer terms against monthly regulated payroll.	Medium	Fund receivables explicitly; do not treat revenue recognition as cash.
13	Model-risk and explainability. BNM requires adjusting reports to disclose facts, assumptions, methods and data sources (para 12.6); black-box AI outputs may be challenged in disputes or by the regulator.	Low–Medium	Human-in-the-loop sign-off, full audit trails, documented methodology — aligns with the 7-year retention rule.
14	Unverified capital and tax items. BNM minimum paid-up capital and SST applicability are both unconfirmed (§6.3, §6.4) and could each shift the funding requirement or pricing.	Low–Medium	Confirm both before finalising any investor financial model.

9. What we are looking for

The analysis points to three constraints that money alone doesn't fix. They're what we're looking for in a partner:

- Senior adjusting capability.** BNM requires adjusting reports to be signed off by a senior adjusting employee with five years of subject-matter experience (§6.1). A partner who is a qualified non-motor adjuster — or who can bring one — is worth more to this business than an equivalent amount of cash.
- Insurer panel access.** Appointments are relationship-driven and take 6–12 months (§8, risk 3). Existing credibility with insurer claims leadership compresses the single longest item on the critical path.
- Funding.** Year 1 requires **RM900,000–1,400,000** including working capital (§6.4).

Two open questions we'd want to work through together: whether we pursue BNM registration directly or partner with an existing registered firm, and how the working arrangement is structured. Both are conversations, not fixed positions.

[Leo — add the specific role and terms here if you want them in writing before the meeting. Leaving it open is also a valid choice for a first conversation.]

10. What could not be verified publicly — validate before committing

Open question	How to validate
Actual non-motor fee scales / time-and-expense rates on insurer panels	Interviews with claims heads at PIAM member insurers; ex-staff of the international adjusting firms
Annual count of non-motor adjuster instructions	ISM member data via an insurer partner; AMLA member firms
BNM minimum paid-up capital for adjusting business (affects funding requirement)	Schedule 2, Financial Services (Registered Businesses) Order; confirm directly with BNM
BNM annual registration fee for a registered adjuster	Third Schedule, Financial Services (Fees) Regulations 2014
Whether service tax (8%) applies to adjusting / claims-administration fees (affects pricing and cash flow)	Tax adviser; SST scope expansion effective 1 July 2025
Realistic cases-per-adjuster-per-month with AI assistance (the productivity claim in §5)	Time-and-motion benchmarking during pilot; compare against incumbent 40–60 baseline
Annual travel/group PA claim counts and internal cost-per-claim (the load-bearing number for Path C)	Discovery with Tune Protect, Allianz, Zurich, Etiqa claims operations
Individual-PA vs Group/Travel-PA split of the RM1.6B PA class	ISM statistics via an insurer partner
Whether desktop travel-claim adjudication requires adjusting registration or falls under outsourcing rules	Formal legal opinion (FSA s.2(1) definition vs BNM outsourcing policy)
Insurer appetite for a surge-capacity subscription product	Direct discovery conversations with 3–5 insurers' claims/CAT teams
Whether internationals would license a third-party remote-assessment platform	BD conversations with Sedgwick/McLarens/Crawford Malaysia

Recommended: 5–10 primary conversations before financial commitment. The three load-bearing estimates are the property fee-per-case table, the adjuster-instruction count, and the travel/PA claim-count range.

Investor-readiness assessment. This document is a defensible market and cost analysis built on public data, and it is honest about a small TAM and a services-margin profile. What it does **not** yet contain, and what a professional investor will ask for: (i) any primary validation of the fee and volume estimates, (ii) a signed or verbal letter of intent from at least one insurer, (iii) confirmation of the two unverified regulatory/capital items above, and (iv) evidence for the cases-per-adjuster productivity claim. Presenting the forecast as a **validated** model before those four exist would misrepresent its confidence level; present it as a costed hypothesis with a named validation plan.

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- SST scope expansion effective 1 July 2025 (service tax applicability to be confirmed) — <https://landco.my/information-sharing/sst-scope-threshold-rate>

Revision history

Rev	Date	Change
1	30 Jul 2026	Initial research report (motor + medical TPA scope).
2	30 Jul 2026	Fact-check pass 1 — corrected registered adjuster count to the verified 55 firms on BNM's list; separated motor <i>claims paid</i> from <i>net claims incurred</i> ; flagged RM7,585 severity figure as likely motorcycle-segment; replaced modelled salary data with verified job-posting ranges.
3	30 Jul 2026	Fact-check pass 2 (consistency review) — fixed medical-TPA revenue inference; restricted international-firm names to those verified on the BNM list; tightened claim-count arithmetic; added revision history.
4	30 Jul 2026	Scope change: motor, PA and medical claims excluded. Report rebuilt around non-motor lines (fire/property, engineering, liability, MAT, misc): new demand-side data (fire CR 69.5% / RM700.8M profit 2025; Dec 2021 flood RM2–3B exposure; ~RM1.6B normal-year in-scope NCI), non-motor fee structures (ad-valorem scale + time-and-expense), competitive landscape (Sedgwick, Crawford, Charles Taylor, McLaren's), revised fee pool (~RM30–80M/yr) and rebuilt revenue scenarios including a catastrophe surge-capacity subscription concept. Motor figures retained only as comparison anchors.
5	30 Jul 2026	Scope change: PA class re-included, except Individual PA. Group PA, Travel PA, PA riders and affinity PA now in scope (travel insurance is a PA-class product, so partial inclusion is required to capture travel claims). Added: PA demand data (RM1.6B premium 2025, +12.2% fastest-growing line, ~RM0.2B NCI), travel-claims operating reality (document adjudication, no adjusters, instant/parametric payout benchmarks from Tune Protect and Allianz), the outsourcing-vs-adjusting regulatory question, Path C travel/Group-PA adjudication revenue scenarios, and a two-engine verdict (recurring travel volume + lumpy property/catastrophe value). In-scope premium base raised to ~RM10.8–11.0B (~47–48% of GI).
6	30 Jul 2026	Investor-readiness review (2 iterations). <i>Iteration 1</i> — <i>missing costs</i> : added \$6 Cost structure, year-1 P&L and breakeven, including the BNM headcount floor that AI cannot remove, verified Malaysian statutory employer loading (~+14–16%: EPF 13%/12%, SOCSO 1.75%, EIS 0.2%, HRD levy 1%) , a full one-off/recurring/COGS cost inventory (registration, legal opinion, senior-adjuster recruitment, ISO 27001, PI and cyber cover, mandated CPD, 7-year retention, PDPA, ap-southeast-5 data-residency premium, surge contractor pool), working-capital needs, and a year-1 P&L showing a RM450k–1.02M loss (registered route) against a RM900k–1.4M funding need ; added \$8 Risk register (14 risks). Flagged as unverified : BNM minimum paid-up capital, BNM annual fee, and SST applicability. <i>Iteration 2</i> — <i>neutrality and consistency</i> : resolved a contradiction where \$5 assumed incumbent headcount while \$6 claimed AI leverage (now quantified as ~half the technical headcount, RM650k–1.1M revenue per technical employee, with caveats); tempered promotional framing of the surge-capacity product and noted no evidence any insurer buys one today; added a confidence-labelling legend and desk-research-only limitation; added investor-standard market sizing (addressable spend ~RM60–150M, obtainable share 10–25%); aligned the maturity revenue range with \$6.5; added an explicit investor-readiness gap list.

